EQUITY RESEARCH — INITIAL COVERAGE
Semiconductor Equipment | United States

Lam Research Corporation

NASDAQ: LRCX

Selling the tools for the AI build-out: memory share gains justify a premium, and the sell-off leaves the base case undervalued

18 October 2026

RATING	CURRENT PRICE	TARGET PRICE	UPSIDE
BUY	**$263.94**	**$385**	**+45.9%**
upgraded from HOLD	16-Oct-2026 close	prob.-weighted, 12m	vs current price

Key data

Market cap (est.)	~$330 bn	**Net cash (FY26)**	$1.8 bn
52-week range	$135.50 – $438.50	**EV/EBITDA FY27E**	25x
P/E FY27E	30x	**FCF yield FY27E**	3.0%
Fiscal year end	Late June	**Next results**	21-Oct-2026

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For educational and analytical purposes only; not investment advice. Sources and methodology in the Appendix. Prices as of 16-Oct-2026.

Investment Summary

1. Company overview

Lam Research (LRCX) designs and manufactures wafer fabrication equipment (WFE) that deposits and etches the thin films forming transistors, memory cells and interconnects, and services an installed base of more than 100,000 process chambers. Its customers are the world's largest chipmakers (TSMC, Samsung, SK hynix, Micron); four customers each exceeded 10% of FY26 revenue.

- **Systems ($14.9 bn, 64% of FY26 revenue):** new etch, deposition and clean tools. By end market (FY26): foundry c.54%, memory c.39% (DRAM and NAND), logic/other c.7%.
- **Customer Support Business Group – CSBG ($8.3 bn, 36%):** spares, services, upgrades and the Reliant mature-node line, driven by the installed base; record c.$2.47 bn in the June-2026 quarter.
- **Why Lam matters:** etch and deposition intensity rises with every 3D device inflection (high-layer NAND, HBM stacking, gate-all-around transistors, advanced packaging), where Lam is the etch leader and a top-two deposition supplier.

2. Investment thesis

- **The build-out precedes the proof:** AI must first be built in silicon before its returns can be proven; TSMC guides 2026 capex to $60–64 bn and "even more significantly higher" capex over the next three years.
- **Share gains in memory:** within the Lam/AMAT/TEL peer set, Lam gained +4.8pp of DRAM share in 1H26 and took 60% of the group's NAND increment in the June-2026 quarter.
- **A larger, higher-margin installed base:** CSBG growth and management's long-term targets (gross margin mid-50s%, operating margin mid-40s%) support margin expansion as the systems cycle normalises.

3. Key financials & forecasts (base case) and valuation snapshot

$ m (FY June)	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E
Revenue	14,905	18,436	23,233	32,802	39,682	45,121	52,240
Growth	-14.5%	23.7%	26.0%	41.2%	21.0%	13.7%	15.8%
EBITDA	4,720	6,344	8,704	13,223	16,738	19,563	23,367
EBIT	4,264	5,901	8,200	12,581	16,108	18,724	22,252
EBIT margin	28.6%	32.0%	35.3%	38.4%	40.6%	41.5%	42.6%
Diluted EPS ($)	2.90	4.15	5.76	8.73	11.35	13.47	16.38
FCF	4,256	5,414	4,891	10,062	11,185	14,570	17,386
Net cash	865	1,906	1,845	3,022	4,607	6,998	10,265
CSBG % revenue	40.1%	37.7%	35.9%	33.2%	31.7%	31.4%	33.9%

Valuation snapshot	
Share price (16-Oct-26)	$263.94
Target price (12m)	**$385**
Upside	**+45.9%**
Rating	**BUY**
EV/EBITDA FY26A / FY27E	38x / 25x
P/E FY26A / FY27E	46x / 30x
FCF yield FY27E	3.0%
Bear / Base / Bull	$197 / $349 / $521
Probabilities	10% / 60% / 30%

Source: Lam 10-K FY2024–FY2026 (SEC EDGAR); analyst model (FY27E–FY30E, base case). Market data: 16-Oct-2026 close (Yahoo Finance; MarketScreener); EV, multiples and FCF yield are our calculations (market cap c.$330 bn = $263.94 × 1,251m shares; EV = market cap – FY26 net cash).

4. Key assumptions, valuation and recommendation

Assumption	Base case	Basis
1Q FY27 revenue	$8.1 bn	Management guidance midpoint ($7.7–8.5 bn), Jul-2026 call
WFE growth CY26	+23% ($144 bn)	In line with management guidance (WFE low-$150 bn range on Lam's definition)
WFE growth CY27–30	+22% / +14% / +10% / +7%	Our assumption, supported by TSMC guidance ("significantly higher" capex in next 3 years) and memory capex plans (TrendForce)
Lam SAM as % of WFE	36.5% → 39%	Management: above mid-30s% in 2026, trending to high-30s% (Investor Day 2025)
Capture of incremental SAM	50%	Management target: >50% of incremental SAM (Investor Day 2025); we assume the low end
Gross margin	50.5% → 54% (FY30E)	Management long-term target: mid-50s% (Jul-2026 call); we assume slightly below
EBIT margin	35.3% → 42.6% (FY30E)	Management long-term target: mid-40s%; our path is more conservative
Opex growth	c.10% p.a. in dollars	Our assumption, calibrated so margins converge towards management targets
Tax rate	15.6%	Management: mid-teens from the Sep-2026 quarter
Shareholder returns	90% → 82.5% of FCF	Management: return 85%+ of FCF
Exit multiple	24x FY30E EBITDA	Our assumption: FY22–26 median (19.6x) plus c.20% premium
Scenario weights	Bear 10% / Base 60% / Bull 30%	Our judgement (Section 12)

Result: the DCF gives $349 per share in the base case; weighting bear ($197, 20x), base and bull ($521, 28x) gives a target of **$385** (+45.9%). **BUY:** after a c.20% fall since 30-Sep-2026, the shares trade below our base-case value ($349, +32%), so the upside no longer depends on the bull case.

5. Key risks

(i) A capex pause by foundries/memory makers after the first AI capacity wave; (ii) multiple de-rating (at Lam's 10-year median of 14.3x the base case is worth c.$222); (iii) AMAT competition in GAA/foundry, where Lam has given back c.6pp of peer-set share since its peak; (iv) China export controls (c.34% of FY26 revenue).

1. Investment Thesis

Pillar 1 — The build-out comes before the proof

Claim	AI adoption first requires leading-edge logic, HBM and high-layer NAND capacity; that capacity is built with Lam's etch and deposition tools, whatever the final return on AI.
Evidence	TSMC raised its 2026 capex range to $60–64 bn (from $52–56 bn) and said capex in the next three years will be "even more significantly higher" than the prior three (c.$101 bn) (TSMC 2Q26 and 4Q25 calls). No official 2027 figure exists; third-party estimates are $78 bn (Goldman Sachs) to $85 bn. Lam guided CY2026 WFE to the low-$150 bn range, from c.$110 bn in 2025.
Financial impact	Base-case WFE of $175 bn in CY27 drives FY27E revenue of $32.8 bn (+41%).
Why it matters for valuation	Revenue growth of the next 2–3 years sets the FY30 EBITDA to which the exit multiple is applied; each 1pp of CY27–30 WFE CAGR moves FY30E revenue by roughly 3–4% (our estimate).

Pillar 2 — Lam is winning share in memory

Claim	Within the three leading WFE vendors, Lam is capturing a disproportionate share of memory growth.
Evidence	Peer-set DRAM share +4.8pp (20.7% → 25.5%, 1H26 vs 1H25); 38.5% of the DRAM increment; 60.2% of the peer group's NAND increment in the June-2026 quarter (Section 6). In foundry, Lam gained c.10pp from 1Q FY25 to 3Q FY26 but has given back c.6pp since its 1Q FY26 peak.
Financial impact	Base case assumes Lam captures 50% of incremental SAM, lifting its capture of total SAM from 28.3% to 37.6% by FY30E.
Why it matters for valuation	Share capture is the main difference between scenarios: bull 65%, base 50%, bear 40%. Observed peer-set capture of total memory growth (37.7%) is below the base assumption, which is why we weight the bull case at only 30%.

Pillar 3 — A larger, higher-margin installed base

Claim	Each tool sold creates years of spares, services and upgrade revenue; as systems growth normalises, CSBG supports revenue and margins.
Evidence	CSBG passed $2 bn per quarter for the first time in March 2026 and reached a record c.$2.47 bn in June 2026; management targets CSBG at 1.5x CY2024 by CY2028 (Lam calls; 2025 Investor Day).
Financial impact	CSBG modelled at c.32–34% of revenue; CSBG / trailing 5-year cumulative systems revenue declines from c.11.9% to c.11.1%, i.e. our forecast grows more slowly than the installed base (conservative).
Why it matters for valuation	A rising CSBG mix and operating leverage lift EBIT margin from 35.3% (FY26) to 42.6% (FY30E), below management's mid-40s% long-term target.

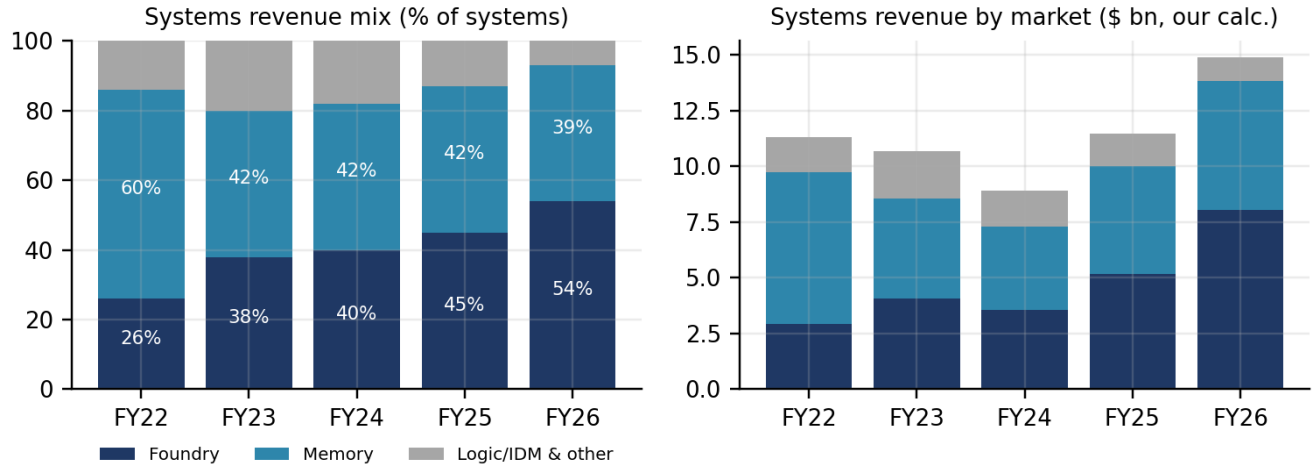
Where we differ from the market. At $263.94 our model implies the market discounts c.17x FY30E EBITDA, below the 20x of our bear case. We believe continued memory share gains and margin expansion are more likely than a downturn, and the sell-off ahead of the 1Q FY27 results offers an attractive entry point. **Management credibility:** Lam beat its revenue guidance midpoint in 12 of the last 12 quarters (average +2.3%); we therefore anchor 1Q FY27 on the $8.1 bn midpoint (range $7.7–8.5 bn).

2. Business Segmentation: Systems Mix Through the Cycle

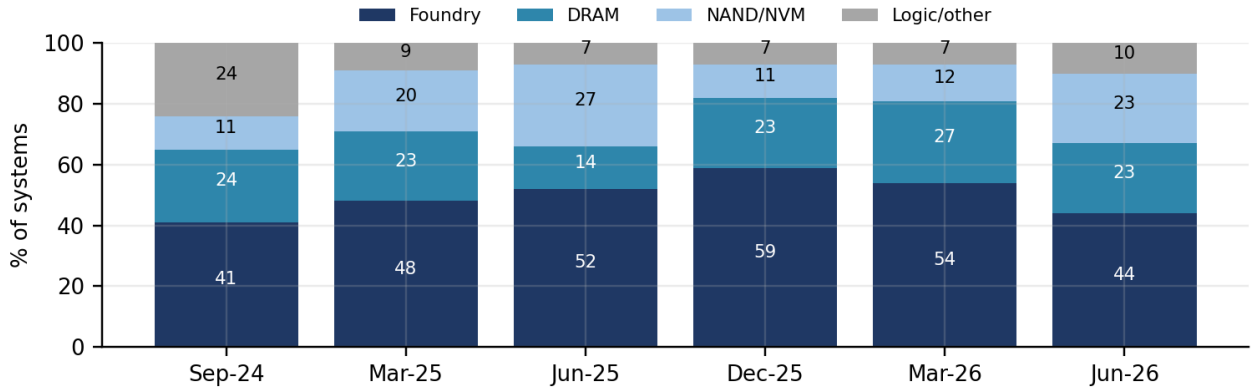
Lam reports one segment and discloses (i) systems vs customer-support revenue, and (ii) the split of systems revenue by end market: memory (DRAM and non-volatile/NAND), foundry, and logic/integrated device manufacturing. Annual splits come from the 10-K; quarterly splits (including DRAM vs NAND) come from earnings releases and slides.

Fiscal year	Systems rev. ($m)	Foundry	Memory	Logic/IDM & other	Foundry ($m)	Memory ($m)	Logic ($m)
FY22	11,322	26%	60%	14%	2,944	6,793	1,585
FY23	10,696	38%	42%	20%	4,064	4,492	2,139
FY24	8,922	40%	42%	18%	3,569	3,747	1,606
FY25	11,491	45%	42%	13%	5,171	4,826	1,494
FY26	14,885	54%	39%	7%	8,038	5,805	1,042

Source: Lam 10-K FY2024 (Item 7, Revenue: FY22–FY24 mix), 10-K FY2025 (FY23–FY25), 10-K FY2026 (foundry +900bps and memory –300bps vs FY25; FY26 split derived by us). Dollar values = systems revenue × % (our calculation).



What changed through the cycle. In FY22 memory was 60% of systems revenue; the 2023–24 memory downturn (NAND especially) cut it to 42%, while foundry rose from 26% to 54% by FY26 on leading-edge and mature-node (including domestic China) spending. Foundry systems revenue more than doubled from c.$2.9 bn (FY22) to c.$8.0 bn (FY26). The quarterly data show the pendulum swinging back: in the June-2026 quarter NAND doubled sequentially and memory reached 46% of systems revenue, while foundry fell to 44%.



Source: Lam quarterly earnings slides and call transcripts (Sep-24, Mar-25, Jun-25, Dec-25, Mar-26, Jun-26 quarters). Jun-25: memory 41% reported in slides; DRAM/NAND split per transcript summary. Jun-26 NAND = 100% – 44% – 23% – 10% (our calculation). Dec-24 and Sep-25 quarters omitted where the full split was not available to us.

3. Product Portfolio

Full product portfolio

Process	Product families	What they do
Conductor etch	Kiyo, Akara, Versys Metal	Shape transistor gates, contacts and metal lines; Kiyo has >30,000 chambers in production (Lam, Feb-2025).
Dielectric etch	Flex, Vantex	Carve insulating layers, including the deep high-aspect-ratio holes and slits of 3D NAND.
Deep silicon etch	Syndion	Fast-switching deep silicon etch, including through-silicon vias (TSVs).
Dielectric deposition	VECTOR (PECVD/ALD), Striker (ALD), SPEED (HDP-CVD)	Insulating films, conformal spacers/liners and void-free gapfill; VECTOR TEOS 3D for thick packaging films.
Metal deposition	ALTUS / ALTUS Halo (CVD/ALD), SABRE / SABRE 3D (ECD)	Tungsten and molybdenum films (ALTUS); copper electroplating for interconnects and TSVs (SABRE).
Clean	EOS, DV-Prime, Da Vinci, Coronus (bevel)	Wafer cleaning and bevel-edge clean to protect yield.
Patterning	Aether (dry resist)	Dry-deposited metal-oxide photoresist for EUV lithography.
Services & mature nodes	CSBG: spares, services, upgrades, Reliant	Installed-base support and refurbished/mature-node tools.

Source: Lam 10-K (Item 1, Business: product families, FY2017–FY2020 editions); Lam newsroom "Made by Lam" resource hub; Lam press releases (Akara and ALTUS Halo, Feb-2025).

Key products for the investment thesis

Product	Process / step	Problem it solves	Relevant node / device	Why it benefits from next nodes	Main competitors
Akara	Conductor etch (front-end)	Atomic-scale shaping of 3D structures; DirectDrive plasma with responses c.100x faster (Lam).	GAA logic, 6F2 DRAM, 3D NAND; extendible to 4F2 DRAM, CFET, 3D DRAM.	Selected as production tool of record for multiple advanced planar DRAM and foundry GAA applications (Lam, Feb-2025).	AMAT (Sym3 Z Magnum, launched Feb-2026), TEL
ALTUS Halo	Metal ALD (front-end contacts /word-lines)	Deposits molybdenum atom-layer by atom-layer: lower resistance than tungsten at small dimensions.	NAND word-lines, logic contacts.	Mo replaces W as dimensions shrink; mgmt targets >$2 bn shipments in 3–5 years (Investor Day 2025).	AMAT (Spectral Mo ALD, Feb-2026)
SABRE 3D	Copper ECD (packaging/TSV)	Fills TSVs and thick copper features that connect stacked dies.	HBM stacks, 2.5D/3D advanced packaging.	More dies per HBM stack and more packaging layers; mgmt cited c.+5pp packaging share gain in 2025.	AMAT, others
Syndion	Deep silicon etch (packaging/TSV)	Etches deep, uniform vias through silicon.	HBM and 3D integration.	TSV count rises with HBM generations.	AMAT, TEL, others
Vantex / Flex	Dielectric HAR etch	Etches the deep holes and slits that define 3D NAND and DRAM capacitors.	200+ layer NAND, advanced DRAM.	Each NAND layer-count step adds etch depth and steps; NAND conversions to >200 layers c.$40 bn of spend (mgmt).	TEL
Aether	Dry resist (lithography)	Metal-oxide resist absorbs more EUV, allowing lower dose and better resolution.	EUV layers in DRAM and logic.	More EUV layers per wafer; mgmt targets c.$1.5 bn cumulative in 5 years; possible pull-through into Lam etch .	Wet (spin-on) resist suppliers
VECTOR TEOS 3D	Dielectric deposition (packaging)	Ultra-thick, high-quality dielectric films for 3D stacking.	Advanced packaging.	Packaging growth (Lam: c.70%+ in 2026).	AMAT

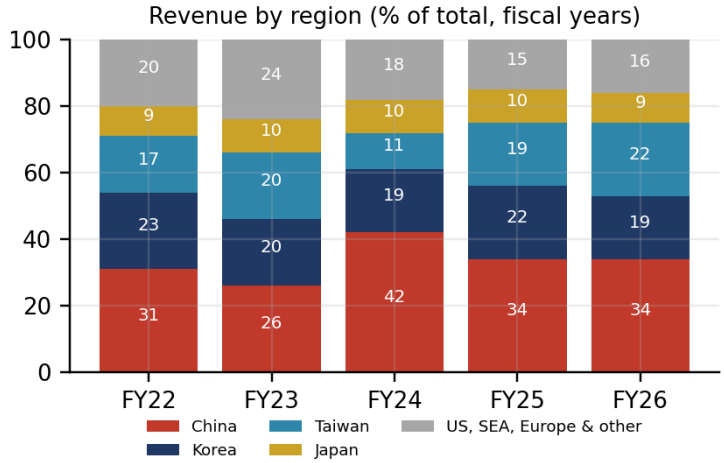
Source: Lam press releases (Akara, ALTUS Halo: Feb-2025); Lam newsroom (VECTOR TEOS 3D); Lam 2025 Investor Day and Jan/Apr/Jul-2026 calls as compiled in analyst files; AMAT press releases (10-Feb-2026: Sym3 Z Magnum, Spectral ALD; 8-Apr-2026: Precision Selective Nitride PECVD, Trillium ALD). Product-level revenue is not disclosed by Lam: we do not model it.

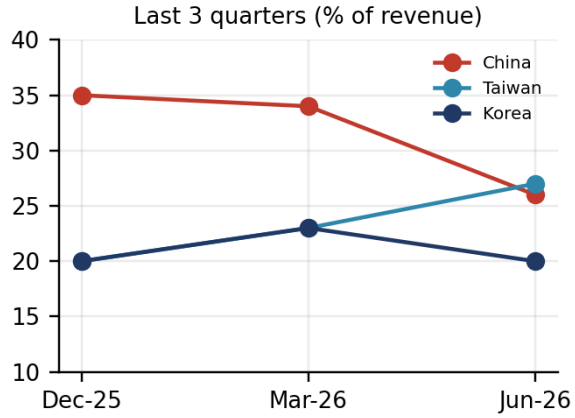
Read-across to the thesis. Lam's strongest positions are in high-aspect-ratio etch and metal deposition for 3D memory, which is where our memory share data show the largest gains. In GAA logic, Lam has production wins (Akara) but faces new, direct competition from AMAT in conductor etch and molybdenum ALD launched in 2026; ASM International leads in ALD for gate stacks.

4. Customer and Geographic Mix

% of revenue	FY22	FY23	FY24	FY25	FY26	Jun-26 qtr
China	31%	26%	42%	34%	34%	26%
Taiwan	17%	20%	11%	19%	22%	27%
Korea	23%	20%	19%	22%	19%	20%
Japan	9%	10%	10%	10%	9%	9%
United States	n.d.	c.10%	c.7%	7%	7%	9%
Southeast Asia	n.d.	n.d.	n.d.	5%	6%	5%
Europe	n.d.	n.d.	n.d.	3%	3%	4%
China revenue ($ bn)	5.3	4.5	6.3	6.2	7.9	c.1.7

Source: Lam 10-K FY2024 (FY22–FY24 China, Korea, Taiwan, Japan); 10-K FY2026 (FY25–FY26 all regions; China $7,860m FY26, $6,205m FY25, $6,294m FY24); FY23 and FY24 US from Bullfincher (XBRL-derived); Jun-26 quarter from Lam 8-K (29-Jul-2026). FY22–FY23 China $ and Jun-26 quarter $ are our calculations (% × revenue). n.d. = not disclosed in the sources we used.

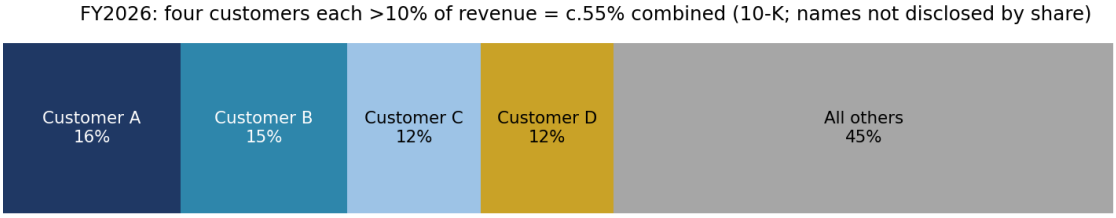




What the distribution means. Over 90% of revenue is generated in Asia, mirroring where fabs are built. Taiwan (TSMC, leading-edge foundry/logic) reached a record 27% of revenue in the June-2026 quarter, and Korea (Samsung, SK hynix: DRAM/HBM and NAND) recorded record dollar revenue in March 2026. These two regions are the most direct exposure to the AI build-out. China rose to 42% in FY24, when domestic customers invested heavily in mature nodes while global memory spending was depressed, and has since fallen to 26% of quarterly revenue.

China and export controls. China revenue fell in absolute terms in the June-2026 quarter (c.$1.75 bn vs c.$1.99 bn in March; our calculation), after management had guided to a decline. A lower China share reduces exposure to further US export restrictions, but China remains c.a third of FY26 revenue ($7.9 bn) and mostly non-leading-edge equipment, where AMAT is also guiding to growth led by 28nm foundry/logic. Japan and the US are smaller but growing with new fab projects; Europe is c.3–4%.

Customer concentration.



In FY26 four customers accounted for c.16%, 15%, 12% and 12% of revenue (FY25: two customers, 17% and 15%; FY24: one, 17%); the 10-K names Micron, Samsung, SK hynix and TSMC as the most significant customers but does not map names to percentages. Concentration has *increased*, which is consistent with the shift to leading-edge customers but raises sensitivity to any single customer's capex decision.

Source: Lam 10-K FY2026, Note "Segment, Geographic Information, and Major Customers".

5. Industry Overview

Market definitions used in this report

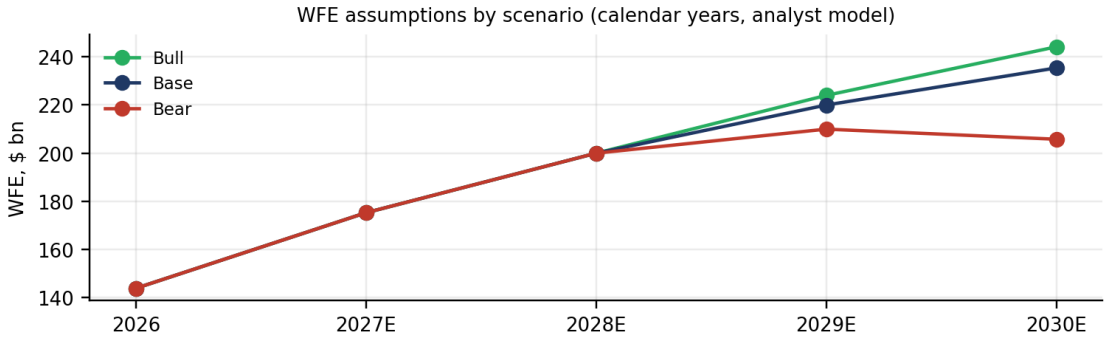
Market	Definition	Use in our model / source
WFE (TAM)	Global spending on wafer fabrication equipment (front-end tools: lithography, etch, deposition, clean, process control, etc.).	Starting point of our revenue model. CY2026 c.$144 bn in our model, consistent with Lam guidance of low-$150 bn range (calendar basis; definitions differ by source).
Lam SAM	The part of WFE Lam can address with its products (mainly etch, deposition, clean, packaging).	Management: >mid-30s% of WFE in 2026, trending to high-30s%. Model: 36.5% → 39%.
Foundry/logic	Equipment for logic chips (foundries such as TSMC; IDM logic). Leading edge = 3nm/2nm and GAA; mature = 28nm and above.	Lam reports "foundry" and "logic/IDM" separately; AMAT reports "foundry, logic and other" combined; TEL reports "non-memory".
Memory	DRAM (including HBM) and NAND (non-volatile memory).	Reported by Lam, AMAT and TEL with different definitions (AMAT DRAM includes HBM packaging).
Advanced packaging	Equipment for TSVs, bumping, hybrid bonding and 2.5D/3D integration.	Lam guides packaging revenue growth of c.70%+ in 2026; not modelled separately.
Lam capture of SAM	Lam systems revenue / Lam SAM.	28.3% in 2026; base case 50% of incremental SAM.

Source: Lam 2025 Investor Day; Lam Jan/Apr/Jul-2026 earnings calls (as compiled in LAM_guidance_management.xlsx); analyst model (SAM sheet). We do not mix TAM/SAM definitions: the model only uses WFE → Lam SAM → capture.

WFE scenarios and Lam serviceable market

$ bn (calendar year)	2026	2027E	2028E	2029E	2030E	CAGR 26–30
WFE – Bull	143.9	175.3	200.0	224.0	244.1	14.1%
growth	+23.1%	+21.8%	+14.1%	+12.0%	+9.0%	
WFE – Base	143.9	175.3	200.0	220.0	235.4	13.1%
growth	+23.1%	+21.8%	+14.1%	+10.0%	+7.0%	
WFE – Bear	143.9	175.3	200.0	210.0	205.8	9.4%
growth	+23.1%	+21.8%	+14.1%	+5.0%	–2.0%	
Lam SAM % of WFE (base)	36.5%	38.0%	38.5%	38.5%	39.0%	
Lam SAM – Base	52.5	66.6	77.0	84.7	91.8	15.0%
Lam capture of SAM – Base	28.3%	32.9%	35.2%	36.6%	37.6%	

Source: Analyst model (SAM sheets: LAM_FSM.xlsx, BEAR-BULL_CASES.xlsx). 2026 WFE consistent with Lam guidance (low-$150 bn range on Lam's definition). CAGR = our calculation.



Leading edge vs mature nodes. Growth in 2026–27 is driven by leading-edge foundry/logic (2nm GAA ramps), DRAM/HBM and advanced packaging; AMAT states these segments should account for c.80% of WFE growth. Mature-node demand (largely China) supported 2024–25 but is now a smaller share of Lam's growth. **Structural intensity:** Lam estimates SAM per wafer rises 1.8x in NAND (128 to 500+ layers), 1.7x in DRAM (1b to 3D) and 2.0x in logic (5nm to CFET); GAA adds c.$1 bn of Lam SAM per 100k wafers/month.

Customer capex datapoint	Value	Source
TSMC 2026 capex guidance	$60–64 bn (raised from $52–56 bn)	TSMC 2Q26 call (Jul-2026)
TSMC next 3 years vs prior 3 (c.$101 bn)	"Even more significantly higher"	TSMC 2Q26 / 4Q25 calls
TSMC 2027 capex (third-party estimate)	$78 bn (GS) to $85 bn	BigGo Finance (Jul-2026), Yahoo Finance (Aug-2026)
SK hynix 2026 capex (estimate)	c.$20.5 bn (+17%)	TrendForce, 13-Nov-2025
Samsung memory 2026 capex (estimate)	c.$20 bn (+11%)	TrendForce, 13-Nov-2025
Micron 2026 capex (estimate)	c.$13.5 bn (+23%)	TrendForce, 13-Nov-2025

6. The Memory Bottleneck: Shortage vs Willingness to Add Capacity

What the bottleneck is. AI accelerators need high-bandwidth memory (HBM), and HBM consumes roughly three times the wafer capacity of standard DRAM per gigabyte (Micron, cited by Network World and NAND Research). As Samsung, SK hynix and Micron reallocate wafers to higher-margin HBM, supply of conventional DRAM and NAND tightens. SK hynix said its HBM, DRAM and NAND capacity was essentially sold out for 2026 (Oct-2025 call); conventional DRAM contract prices rose c.90–95% QoQ in 1Q26 (NAND Research, May-2026).

The key distinction for our thesis. A *capacity shortage* (demand above supply today) is not the same as *willingness to add capacity* (committing capex to new fabs). The data show memory makers **are investing more**, but in a disciplined way:

Indicator	2023–24 downturn	2025–26 cycle	Source
Starting point	Over-investment in 2021–1H22; prices fell from 3Q22 on oversupply	Utilisation full; inventories depleted; prices rising	SK hynix SEC filing (2026); TrendForce
Capex 2026	Cut sharply in 2023	Up modestly: SK hynix c.$20.5 bn (+17%), Samsung c.$20 bn (+11%), Micron c.$13.5 bn (+23%)	TrendForce, Nov-2025
Where capex goes	Greenfield capacity in the prior up-cycle	Technology upgrades (1c/1γ nodes), higher-layer stacking, hybrid bonding, HBM, TSV equipment	TrendForce, Nov-2025
Physical constraint	Spare cleanroom space	Limited cleanroom space; Micron waiting for ID1 (US); only Samsung and SK hynix can slightly expand lines	TrendForce, Nov-2025
Management stance	Capacity-led	Samsung and SK hynix (c.70% of DRAM) signalled no aggressive capacity expansion	NAND Research, May-2026
Demand visibility	Consumer PCs/phones, short visibility	Multi-year HBM agreements; SK hynix sold out 2026 HBM in Oct-2025	NAND Research; Network World

Why the IDMs are managing, rather than eliminating, the bottleneck.

- **Return on capex:** after 2022–23, when prices collapsed on oversupply, adding bits that push prices down destroys the return on every existing wafer. With prices rising sharply, each quarter without new capacity improves profitability.
- **Physical lead times:** new cleanroom space takes years; near-term capex therefore goes into upgrading existing fabs (node migrations, higher layer counts, TSV/HBM lines), which is etch- and deposition-intensive.
- **Visibility:** HBM is sold under multi-year agreements, giving visibility that justifies HBM-specific capex but not broad commodity capacity.
- **Overcapacity risk:** if AI demand slows, conventional capacity added today would arrive into a weaker market; disciplined capex reduces that risk.

Implication for Lam. Disciplined, upgrade-led memory capex is favourable to Lam: technology conversions (e.g. NAND to 256+ layers, DRAM node migrations, TSVs for HBM) are etch- and deposition-heavy and spread over several years, rather than a single capacity spike followed by a bust. This is the basis for modelling WFE *moderation* (+10% in 2029, +7% in 2030) instead of a downturn in our base case. The data cut both ways: the June-2026 NAND rebound (Lam NAND systems revenue doubled QoQ) shows conversions are happening, but a sudden capex increase by IDMs would raise oversupply risk for 2028–29, which our bear case captures.

Source: TrendForce press release "Memory Industry to Maintain Cautious CapEx in 2026" (13-Nov-2025); NAND Research "Memory & NAND Flash Crisis: May 2026 Update"; Network World (Jan-2026); SK hynix Form DRS/A and 424B4 (SEC, 2026), risk factors; Lam Jun-2026 quarter call.

7. Market Share Analysis

How we calculate market share (read before the charts)

1. Universe: a peer set of the three largest etch/deposition vendors that disclose an end-market split: Lam Research, Applied Materials (AMAT) and Tokyo Electron (TEL). **This is not global WFE market share**: it excludes ASML, KLA, ASM International, Hitachi High-Tech and others, and covers only systems (new equipment) revenue.

2. Comparable revenue: Lam = systems revenue × foundry % (foundry/logic) or × DRAM/NAND % (memory), from 8-K releases. AMAT = Semiconductor Systems revenue × "foundry, logic and other" % or DRAM/flash %, from 10-Q/8-K. TEL = SPE new-equipment sales × non-memory % or DRAM/NAND %, from investor presentations, converted at a constant 158.26 JPY/USD.

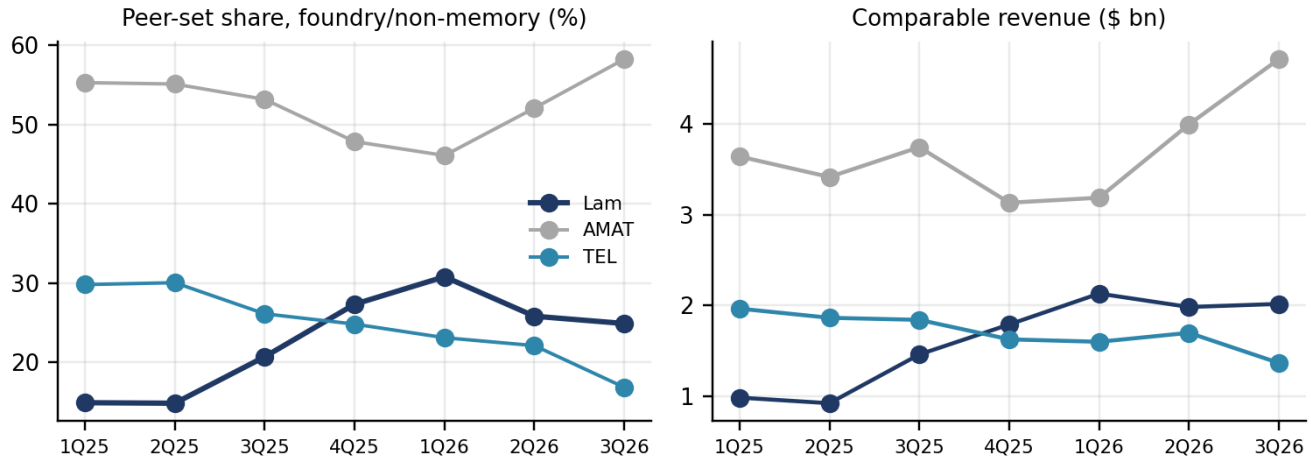
3. Share: Share_i = comparable revenue_i / (Lam + AMAT + TEL comparable revenue). Δshare = change in percentage points (pp). "Share of increment" = $\Delta\text{revenue}_i$ / Δrevenue of the group.

4. Limitations: definitions differ (AMAT "foundry, logic and other" includes mature-node China and ICAPS; Lam "foundry" excludes logic/IDM; TEL "non-memory" is broadest); fiscal calendars differ (Lam quarters end Mar/Jun/Sep/Dec, AMAT one month later, TEL Japanese fiscal year); AMAT 4Q FY25 mix was not published on a comparable basis. Results show *relative direction*, not precise share.

Foundry / Logic (non-memory)

Lam fiscal qtr	Lam $m	AMAT $m	TEL $m	Lam share	QoQ (pp)	YoY (pp)	AMAT share	QoQ (pp)	TEL share
1Q FY25	981	3,642	1,963	14.9%	–	–	55.3%	–	29.8%
2Q FY25	919	3,416	1,862	14.8%	-0.1	–	55.1%	-0.2	30.0%
3Q FY25	1,457	3,745	1,839	20.7%	+5.9	–	53.2%	-1.9	26.1%
4Q FY25	1,788	3,132	1,624	27.3%	+6.6	–	47.9%	-5.3	24.8%
1Q FY26	2,129	3,187	1,597	30.8%	+3.5	+15.9	46.1%	-1.8	23.1%
2Q FY26	1,981	3,997	1,696	25.8%	-5.0	+11.0	52.1%	+6.0	22.1%
3Q FY26	2,015	4,717	1,363	24.9%	-0.9	+4.2	58.3%	+6.2	16.8%

Source: LRCX_Foundry_Cuota_PeerSet_EXACTA.xlsx (analyst file): Lam 8-K/10-Q (systems revenue × foundry %), AMAT 10-Q/8-K (Semiconductor Systems × foundry, logic and other %), TEL investor presentations (SPE new equipment × non-memory %). Quarters aligned to Lam's fiscal calendar; AMAT and TEL periods are the nearest reported quarters.



What happened. Lam's peer-set share rose from 14.9% to a peak of 30.8% in 1Q FY26 (+15.9pp), driven by foundry revenue more than doubling ($0.98 bn to $2.13 bn). It then fell by 5.0pp and 0.9pp in the next two quarters to 24.9%, while AMAT gained 6.0pp and 6.2pp to 58.3%, **above its starting level of 55.3%**. Net, Lam is +10.0pp over the period but has given back c.6pp from its peak. In the June-2026 quarter (not yet comparable with AMAT), Lam's foundry revenue fell further to c.$1.87 bn (systems $4.25 bn × 44%; our calculation), as Lam's shipments shifted towards NAND.

8. AMAT vs Lam: Structural Share Gain or Timing?

We do not assume that AMAT's rebound means Lam is losing competitiveness. We test it against the evidence available.

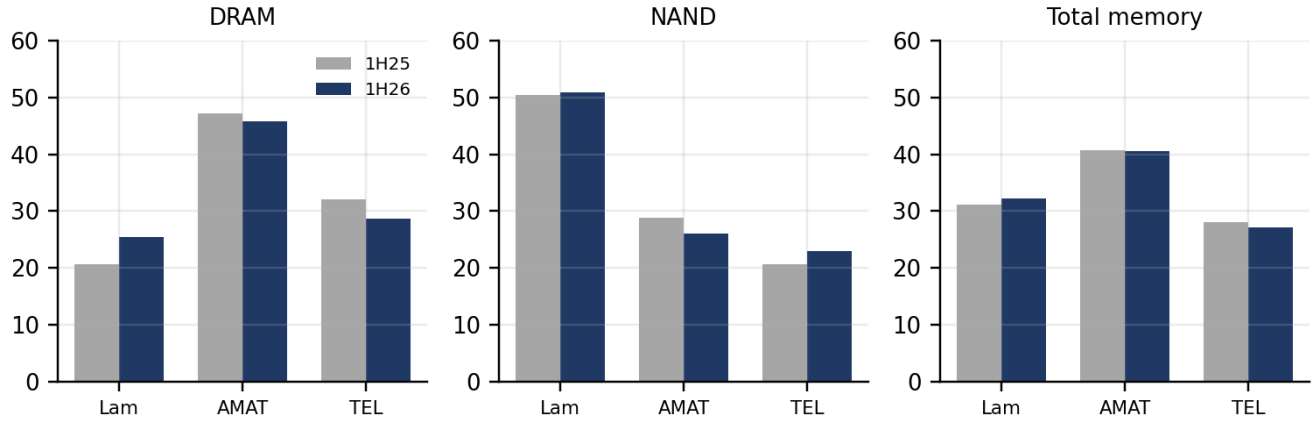
Hypothesis	Evidence for	Evidence against / caveats
1. New AMAT GAA products	AMAT launched GAA-specific tools: Xtera epi (Oct-2025), Sym3 Z Magnum conductor etch and Spectral Mo ALD (10-Feb-2026), Precision Selective Nitride PECVD and Trillium ALD (8-Apr-2026, "already adopted at 2nm-class nodes"). Sym3 Z and Spectral Mo compete directly with Lam's Akara and ALTUS Halo.	Launches from Feb/Apr-2026 are too recent to explain most of a share move that began in Lam's Dec-2025 quarter; tool revenue usually lags launch by several quarters.
2. Fab ramps / capacity additions in GAA and FinFET	AMAT: "capacity additions in Gate-All-Around and FinFET drove record foundry logic revenue" (3Q FY26 call); "most leading-edge logic and DRAM fabs are running at full capacity".	Capacity additions benefit all vendors with tool-of-record positions; Lam also reports 2nm/3nm foundry investment.
3. Customer / regional mix (China mature nodes)	AMAT expects China revenue to increase in CY2026, led by 28nm foundry/logic "where Applied has strong technology differentiation and share"; AMAT's segment includes mature-node "other". Lam's China revenue fell in Jun-2026.	Mix effects inflate AMAT's comparable revenue without implying share gains at the leading edge.
4. Lam shipment timing (NAND priority)	Lam's foundry % fell from 59% to 44% as NAND doubled QoQ in Jun-2026; total systems revenue still grew (+14% QoQ).	If customers chose AMAT for new GAA steps, Lam's foundry dollars would decline for several quarters, which is what we observe since Dec-2025.
5. Structural share shift (POR wins)	AMAT claims it is "number 1" and "positioned to gain share" in leading-edge foundry logic, DRAM and packaging.	Lam's Akara is tool of record for multiple foundry GAA applications (Feb-2025); Lam reported first dielectric etch wins in leading-edge foundry (Apr-2026). POR decisions per step are not public.

Source: AMAT 8-K Q3 FY2026 (13-Aug-2026) and earnings call (Investing.com, The Globe and Mail transcripts); AMAT press releases (10-Feb-2026, 8-Apr-2026, 15-Jun-2026); Converge Digest and Futurum (Apr-2026); Lam press release (Akara, Feb-2025); Lam Jun-2026 quarter call; analyst peer-set file.

Our assessment: a combination, tilted to timing and mix for now. The evidence points to (i) mix effects (AMAT's China mature-node growth and broader segment definition), (ii) Lam prioritising NAND conversions in the June quarter, and (iii) genuine AMAT competitive progress in GAA steps, where it launched several directly competing tools in 2026. Point (iii) is the one that could become structural. We would conclude it is structural if Lam's peer-set foundry share stays below c.25% for two more quarters while its foundry dollars do not recover; we would conclude it is timing if Lam's foundry share returns towards 27–30% as NAND normalises.

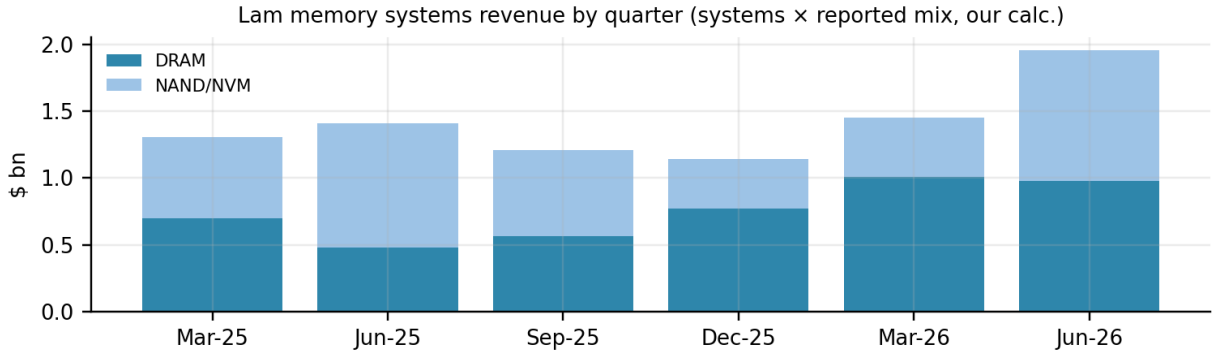
What to monitor: Lam foundry % of systems and foundry dollars (Sep/Dec-2026 quarters); AMAT "foundry, logic and other" % and commentary on China 28nm; tool-of-record announcements for 2nm/A16 GAA steps; Lam and AMAT molybdenum ALD adoption.

9. Memory Market Share



1H26 vs 1H25 (peer set)	Lam	AMAT	TEL	Group
DRAM revenue 1H26 ($m)	1,985	3,560	2,235	7,780
DRAM growth	+68.3%	+32.7%	+22.3%	+36.8%
DRAM share change	+4.8pp	-1.4pp	-3.4pp	–
Share of DRAM increment	38.5%	42.0%	19.5%	100%
NAND revenue 1H26 ($m)	1,425	731	642	2,799
NAND growth	-7.2%	-16.8%	+1.7%	-8.1%
NAND share change	+0.5pp	-2.7pp	+2.2pp	–
Total memory share 1H26	32.2%	40.6%	27.2%	100%
Total memory share change	+1.2pp	-0.2pp	-1.0pp	–
Share of memory increment	37.7%	39.6%	22.7%	100%
Share of NAND increment, latest quarter	60.2%	28.9%	10.9%	100%

Source: Memoria_WFE_Lam_vs_competidores_FINAL.xlsx (analyst file, 29-Sep-2026): Lam 8-K (systems × DRAM/NVM %), AMAT 10-Q/8-K (Semiconductor Systems × DRAM/flash %; AMAT DRAM includes HBM packaging), TEL investor presentations (SPE new equipment × DRAM/NAND %; 158.26 JPY/USD). Periods: Lam/TEL Jan–Jun; AMAT Feb–Jul.



Evidence of share gains. DRAM is the clearest: Lam started 1H25 with only 20.7% of the peer set's DRAM revenue yet captured 38.5% of the increment, growing +68% vs +33% (AMAT) and +22% (TEL). In NAND the market fell in 1H26 but Lam held 50.9% share, and in the June-2026 quarter Lam took 60% of the peer group's NAND increment as conversions to 256+ layers started. **Products behind it** : high-aspect-ratio dielectric etch and metal deposition (ALTUS/ALTUS Halo) for NAND conversions; conductor etch (Akara is tool of record for advanced DRAM) and TSV etch/plating (Syndion, SABRE 3D) for DRAM/HBM. Product-level revenue is not disclosed, so this attribution is qualitative.

The gap we monitor. Lam's 37.7% share of total memory growth is below the 50% incremental SAM capture embedded in our base case. The two are not identical measures (peer set vs Lam's full SAM; memory vs all segments), but if Lam's memory capture stays below c.40% while foundry share does not recover, our base case would be too optimistic.

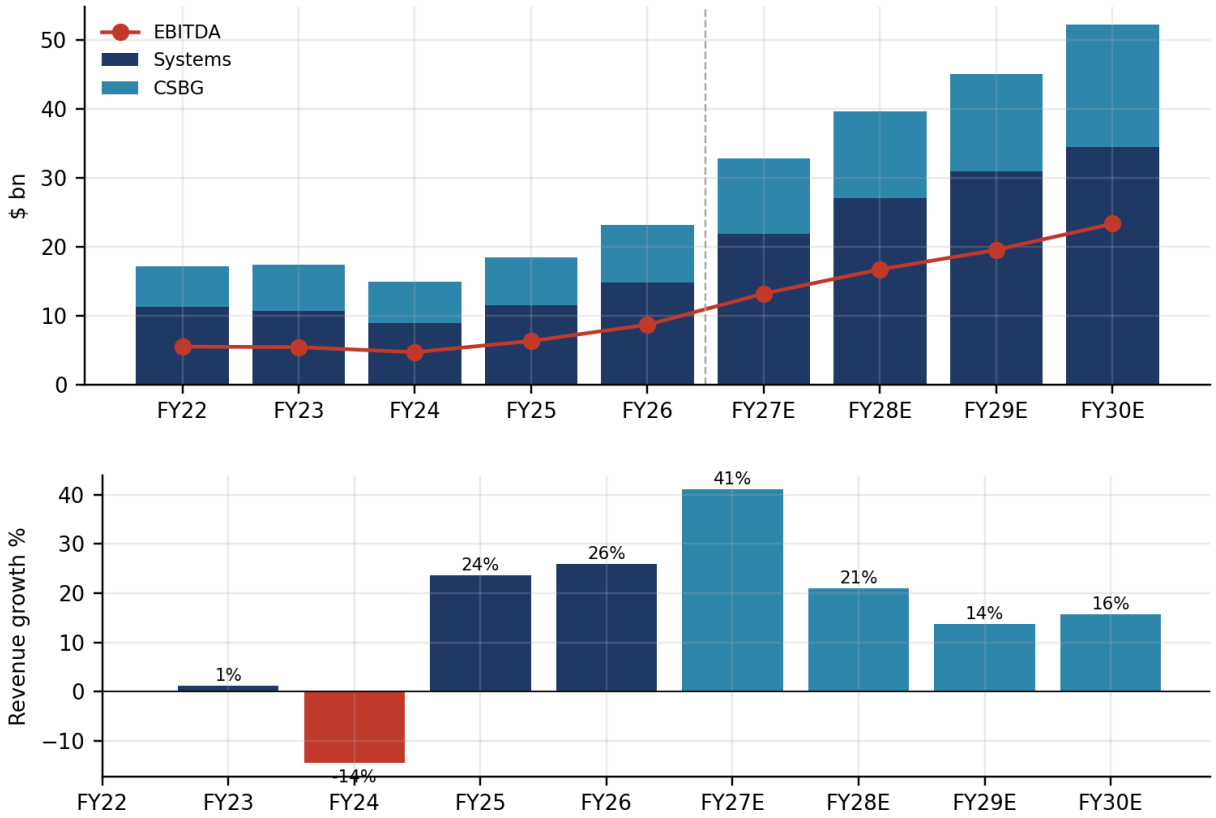
10. Financial Forecast (Base Case)

Revenue build: from WFE to Lam revenue

Step	2026	2027E	2028E	2029E	2030E	Basis
WFE growth	23.1%	21.8%	14.1%	10.0%	7.0%	Assumption; 2026 consistent with Lam guidance
WFE ($ bn)	143.9	175.3	200.0	220.0	235.4	Calculation
Lam SAM % of WFE	36.5%	38.0%	38.5%	38.5%	39.0%	Mgmt framework (mid-30s → high-30s)
Lam SAM ($ bn)	52.5	66.6	77.0	84.7	91.8	Calculation
Incremental SAM capture	–	50%	50%	50%	50%	Assumption (mgmt target >50%)
Capture of total SAM	28.3%	32.9%	35.2%	36.6%	37.6%	Calculation
Systems revenue ($ m)	14,885	21,925	27,121	30,970	34,523	FY basis; 1Q FY27 at $8.1 bn guidance midpoint
CSBG ($ m)	8,347	10,877	12,561	14,151	17,718	% of revenue (32–34%)
Total revenue ($ m)	23,233	32,802	39,682	45,121	52,240	

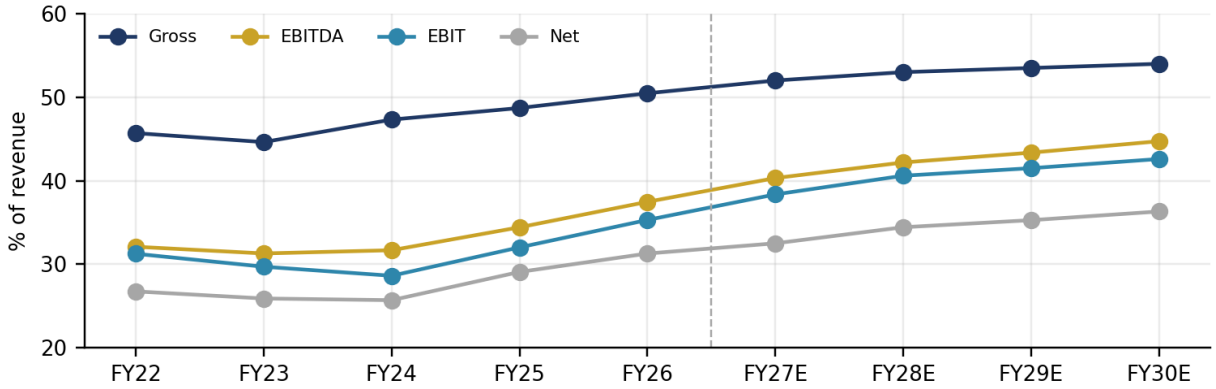
Source: Analyst model (SAM and Revenue sheets); Lam 2025 Investor Day and Jan-2026 call for SAM framework. WFE is calendar-year; Lam revenue is fiscal-year (June).

What has to happen operationally. FY27E revenue of $32.8 bn (+41%) requires (i) 1Q FY27 in line with the $8.1 bn guidance and c.$8.2 bn per quarter thereafter, i.e. no sequential decline after a record quarter; (ii) continued NAND conversions and DRAM/HBM node migrations in Korea and the US; (iii) TSMC 2nm/A16 ramps in Taiwan and Arizona; and (iv) China stable at roughly current dollar levels. From FY28E growth moderates (+21%, +14%, +16%) as WFE growth slows; FY30E growth is lifted by CSBG rising to 34% of revenue as the larger installed base requires upgrades and spares.

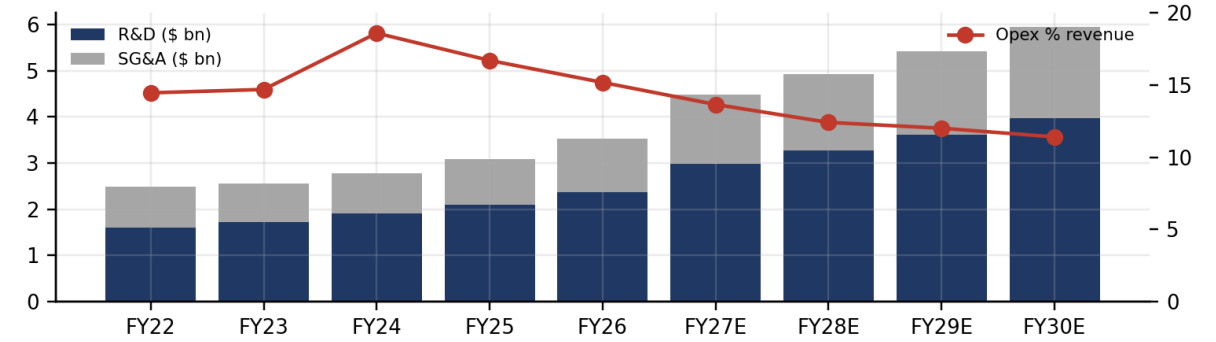


Source: Lam 10-K (FY22–FY26), analyst model.

Margins: why do they increase?



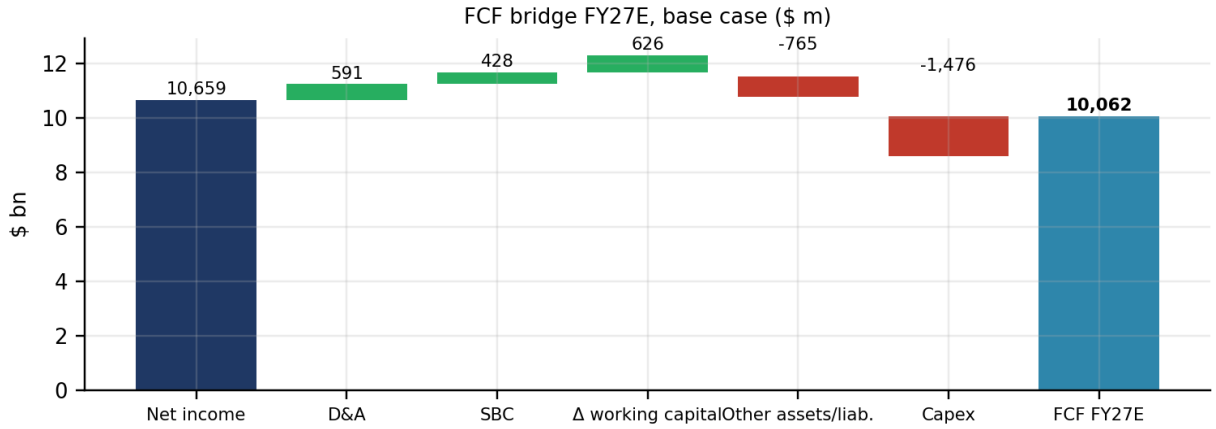
Driver	Mechanism	Evidence	Model impact
Customer mix	Leading-edge customers (TSMC, Korean memory) carry higher margins than domestic China mature-node tools.	FY26 gross margin +180bps "largely due to favorable customer mix" (10-K FY26); June-2026 quarter GM 51.7% with China at 26%.	Gross margin 50.5% → 52% (FY27E).
Product mix / new tools	Newer, more complex tools (Akara, ALTUS Halo, packaging) are priced on value to the customer.	Management long-term targets: gross margin mid-50s%, operating margin mid-40s% (Jul-2026 call).	Gross margin to 54% by FY30E.
CSBG mix	Spares, upgrades and services on a growing installed base; supports margins as systems growth slows.	CSBG record $2.47 bn (Jun-2026); target 1.5x CY24 by CY28.	CSBG 33.9% of revenue in FY30E.
Operating leverage	R&D and SG&A grow c.10% p.a. in dollars, slower than revenue.	R&D still rises from $2.4 bn to $4.0 bn; opex/revenue falls from 15.2% to 11.4%.	EBIT margin 35.3% → 42.6%, below management's mid-40s% target.
Offsets	Tariffs on aluminium/steel; mix normalising if China recovers; price competition with AMAT in GAA.	10-K FY26 cites tariff-related spend as partial offset.	Bear case: gross margin only 53% by FY30E and opex leverage reverses.



Why margins rise: the 7.3pp EBIT margin expansion to FY30E comes roughly half from operating leverage (opex/revenue –3.8pp) and half from gross margin (+3.5pp). Because opex is modelled in absolute dollars, the same mechanism works in reverse in the bear case: if revenue stalls, EBIT margin falls even with an unchanged gross margin. Tax rate: 15.6% from FY27E (mgmt: mid-teens).

Source: Lam 10-K FY2026 (MD&A, gross margin); Lam 8-K (29-Jul-2026); analyst model. Margin bridge = our calculation.

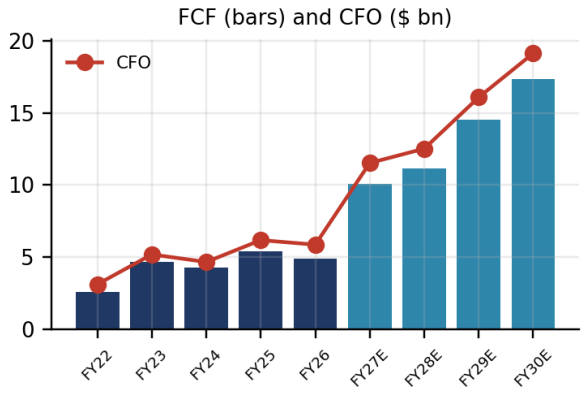
11. Cash Flow and Balance Sheet

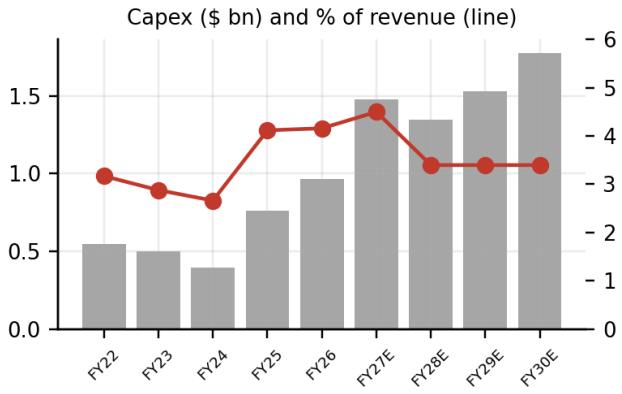


$ m	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E
Net income	3,828	5,358	7,265	10,659	13,659	15,913	18,967
D&A	360	386	442	591	631	840	1,114
Stock-based compensation	293	343	386	428	473	523	579
Change in working capital	360	442	-1,914	626	-1,619	-639	-836
Other (deferred tax, other assets/liab.)	-189	-356	-322	-765	-611	-534	-663
Cash from operations	4,652	6,173	5,858	11,538	12,533	16,103	19,161
Capex	-397	-759	-966	-1,476	-1,348	-1,533	-1,775
Free cash flow	4,256	5,414	4,891	10,062	11,185	14,570	17,386
Dividends	-1,019	-1,150	-1,271	-1,657	-1,853	-2,073	-2,319
Buybacks	-2,843	-3,422	-3,851	-7,399	-7,934	-10,312	-12,025
Debt repayment	-256	-507	-755	0	0	-1,000	-750
Shareholder returns / FCF	90.7%	84.4%	104.7%	90.0%	87.5%	85.0%	82.5%

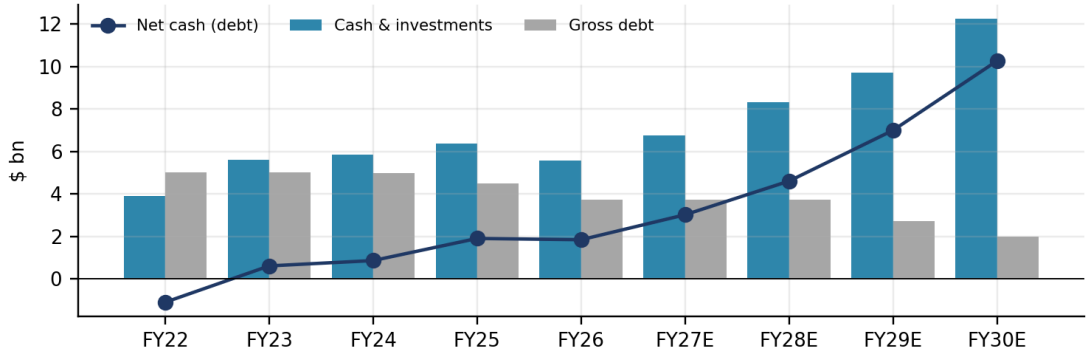
Source: Lam 10-K FY24–FY26 (cash flow statement); analyst model FY27E–FY30E.

Where each component comes from. Net income from the income statement forecast; D&A from the PP&E; schedule (capex less depreciation); SBC grows at its FY22–26 average (c.10.6% p.a.); working capital uses receivable, inventory and payable days applied to average balances, with accrued liabilities and deferred revenue as a % of revenue (deferred revenue reflects customer down-payments); capex at c.4.5% of revenue in FY27E (higher during the ramp) and c.3.4% thereafter. FY27E working capital releases cash ($626m) because customer advances and accruals grow with revenue while receivable days are held at the 4Q FY26 level; we flag this as a sensitivity (holding days at the 4-year average of c.66 would reduce FY27E FCF by roughly $1 bn, our estimate).





Balance sheet and net cash



$ m	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E
Cash & investments	5,848	6,391	5,579	6,752	8,338	9,728	12,246
Gross debt	4,983	4,485	3,735	3,730	3,730	2,730	1,980
Net cash	865	1,906	1,845	3,022	4,607	6,998	10,265
Total equity	8,539	9,862	12,471	14,672	19,205	23,462	28,889

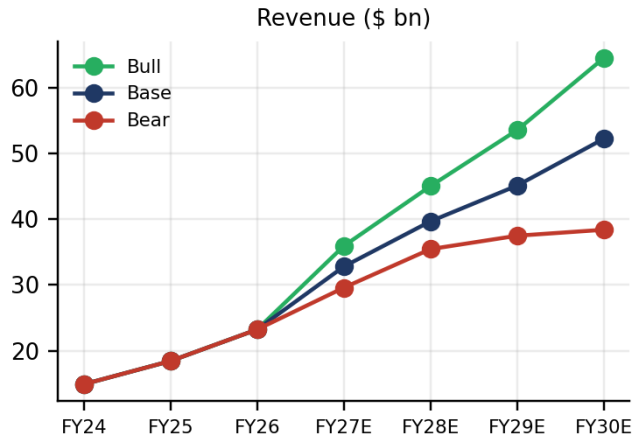
Capital structure. Lam has been net cash since FY23 (FY26: $5.6 bn of cash and investments vs $3.7 bn of debt; net cash $1.8 bn). In our base case net cash rises to c.$10.2 bn by FY30E because (i) FCF grows to $17.4 bn, (ii) $1.75 bn of notes are repaid in FY29–30E rather than refinanced, and (iii) shareholder returns are set at 90% of FCF in FY27E declining to 82.5% by FY30E (management commitment: 85%+), leaving c.10–18% of FCF to accumulate. Buybacks reduce the diluted share count by c.2% per year. Net cash is a strength, not a sign of under-investment: capex needs are low (3–5% of revenue).

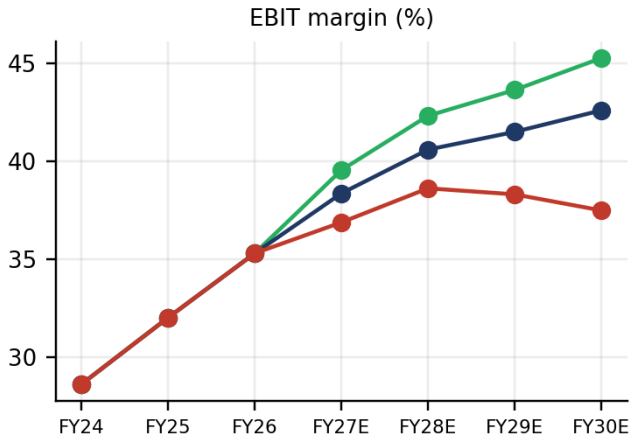
Source: Lam 10-K FY2026 balance sheet; analyst model (debt repayment per model schedule; dividend per share grown at historical CAGR; buybacks as balancing item).

12. Bear, Base and Bull Cases

	Bear (10%)	Base (60%)	Bull (30%)
WFE growth CY27/28/29/30	+22% / +14% / +5% / –2%	+22% / +14% / +10% / +7%	+22% / +14% / +12% / +9%
Incremental SAM capture	40%	50%	65%
Capture of total SAM, 2030	32.2%	37.6%	44.8%
Revenue growth FY27–30E	+27% / +20% / +6% / +2%	+41% / +21% / +14% / +16%	+55% / +25% / +19% / +20%
Revenue FY30E ($ m)	38,402	52,240	64,515
Gross margin FY30E	53.0%	54.0%	54.5%
EBIT margin FY30E	37.5%	42.6%	45.3%
EBITDA FY30E ($ m)	15,215	23,367	30,579
FCF FY30E ($ m)	12,090	17,386	22,419
EPS FY30E ($)	10.44	16.38	21.88
Exit EV/EBITDA	20x	24x	28x
Value per share	$197	$349	$521
vs $263.94	-25.4%	+32.2%	+97.4%
Implied perpetual growth	3.7%	6.3%	7.4%

Source: Analyst model (LAM_FSM.xlsx base case; BEAR-BULL_CASES.xlsx); valuation sheet. Bear-case gross margin 52% → 53% by FY30E.





Bear case — what has to happen. Foundries and memory makers slow capex once the first wave of AI capacity is built: WFE growth drops to +5% in 2029 and –2% in 2030 (a mild correction, not a 2023-style collapse). Lam captures only 40% of incremental SAM as AMAT's GAA tools win steps. Revenue growth falls to +6% and +2% in FY29–30E; gross margin stalls at 52–53% (vs 54% in the base) as mix and pricing weaken, and with opex still growing c.10% p.a. EBIT margin falls to 37.5% in FY30E. The market de-rates the stock to 20x (FY22–26 median).

Base case — what has to happen. The AI build-out continues for 2–2.5 more years and then moderates (WFE +10%, +7%); IDMs keep disciplined, upgrade-led capex; Lam holds its memory gains and recovers part of the foundry share given back to AMAT, capturing 50% of incremental SAM. Gross margin reaches 54% via customer and product mix; EBIT margin 42.6%.

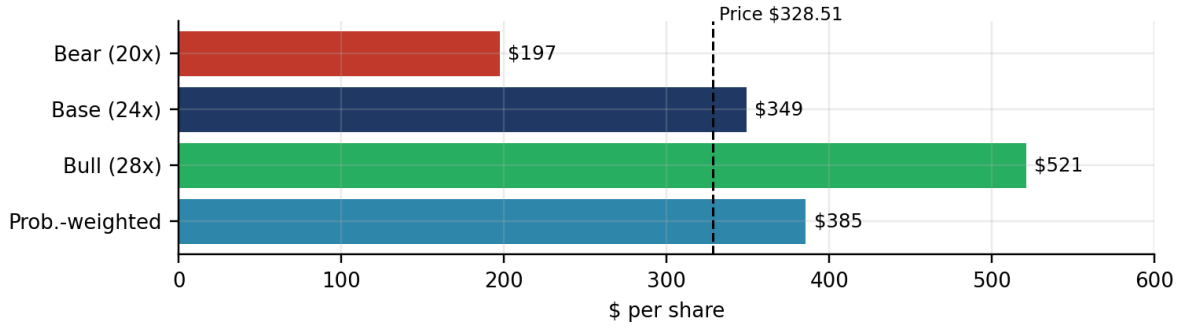
Bull case — what has to happen. Stronger and longer AI investment (WFE +12%, +9% in 2029–30), continued memory share gains (NAND conversions, HBM TSVs) *and* a recovery of foundry share via GAA wins (Akara, ALTUS Halo adoption), lifting incremental capture to 65% and total capture to 44.8%. Higher utilisation and mix lift gross margin to 54.5% and EBIT margin to 45.3%, in line with management's mid-40s% target. The market sustains a premium multiple (28x).

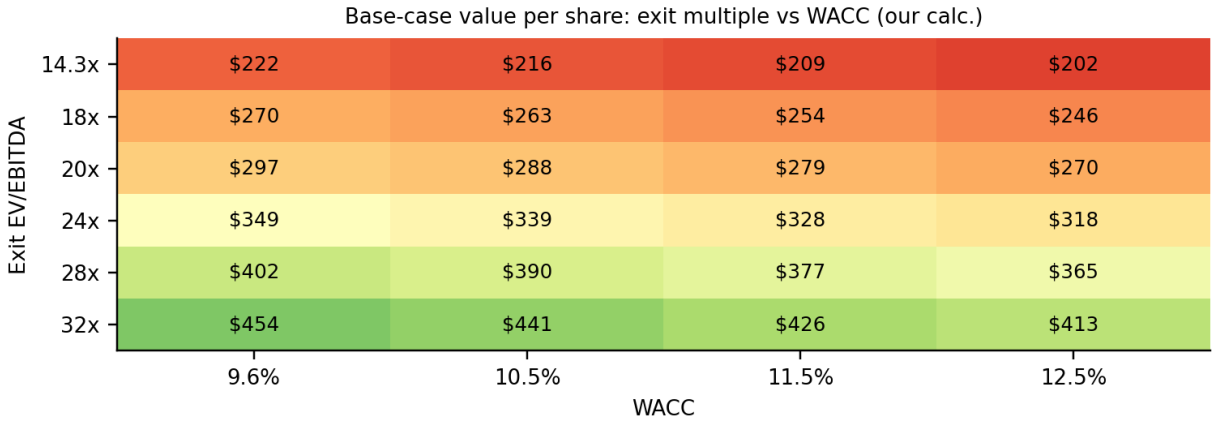
13. Valuation

Element	Choice	Why
Method	DCF with exit multiple	Lam is still growing c.16% in FY30E (base); a perpetuity at 2–3% from that point would imply an abrupt step-down. We disclose the implied perpetual growth for transparency.
Forecast period	FY27E–FY30E (4 years)	Explicit model horizon; FY27E pro-rated (stub 0.77) from the 21-Sep-2026 valuation date.
Cash flow	Unlevered FCF = EBIT × (1–t) + D&A – capex ± Δworking capital	From the three-statement model; capex aligned to the year in which it occurs.
WACC	9.6%	CAPM cost of equity (2-year weekly beta 1.10), near-zero debt weight (net cash). Beta estimates vary (Yahoo Finance 5-year monthly: 1.80); see sensitivity.
Terminal value	EV/EBITDA × FY30E EBITDA, discounted 3.77 years	Bear 20x (FY22–26 median 19.6x applied to depressed EBITDA); base 24x (c.20% premium for GAA/HBM/NAND exposure and CSBG mix); bull 28x (sustained premium).
Equity bridge	+ net cash FY26 ($1,845m); ÷ 1,261m diluted shares	Actual FY26 balance sheet, not forecast cash.

Reconstructing the target price ($ m)	Bear	Base	Bull
PV of FCF FY27–30E	31,722	41,506	49,284
FY30E EBITDA	15,215	23,367	30,579
Exit multiple	20x	24x	28x
Terminal value (undiscounted)	304,295	560,797	856,216
PV of terminal value (factor 0.708)	215,295	396,775	605,790
Enterprise value	247,017	438,281	655,075
+ Net cash	1,845	1,845	1,845
Equity value / 1,261m shares	$197	$349	$521
Terminal value % of EV	87%	91%	92%
Probability	10%	60%	30%
Probability-weighted target		**$385**	

Source: Analyst valuation sheet ("Valoracion", LAM_FSM.xlsx). Multiples: StockAnalysis.com EV/EBITDA at fiscal year-ends FY22–FY26 (11.0x, 14.4x, 29.6x, 19.6x, 54.7x); GuruFocus 10-year median 14.3x.





Is 24x reasonable? It is above Lam's 5-year median (19.6x) and well above its 10-year median (14.3x), and implies 6.3% perpetual growth, above long-term WFE growth. Peers trade at 33–40x LTM EBITDA today (AMAT 39.8x, TEL 33.1x, ASM 36.6x; Lam 46.7x), but those are peak-cycle multiples on trailing earnings and we do not use them as exit multiples. At $263.94 the market implies c.17x. The heat map shows the value is far more sensitive to the exit multiple than to WACC: at 14.3x the base case is worth c.$222.

Peer comparison (TTM)

TTM, 29-Sep-2026 (US$)	Lam	AMAT	TEL	ASM Intl.
Revenue ($ bn)	23.23	30.84	16.72	3.82
EBITDA margin	37.2%	32.9%	29.6%	34.3%
EBIT margin	35.3%	31.2%	26.3%	30.4%
EV ($ bn)	403.8	404.4	163.8	47.9
EV/EBITDA	46.7x	39.8x	33.1x	36.6x
EV/EBIT	49.2x	42.0x	37.2x	41.2x
P/E	56.2x	44.2x	42.5x	40.5x

Source: StockAnalysis.com (S&P Global data) statistics and financials, 29–30-Sep-2026; ECB reference rates 29-Sep-2026; TEL adjusted for 5-for-1 split effective 29-Sep-2026; our calculations.

Our view vs consensus



Source: Yahoo Finance historical prices (daily close, 1-Oct-2025 to 30-Sep-2026); consensus mean target from MarketScreener (35 analysts).

	Our estimate	Consensus	Source (consensus)
Rating	BUY	Buy (mean of 35 analysts)	MarketScreener, 30-Sep-2026
Price target	$385	Mean $373.77; median $380; range $290–500	MarketScreener; TickerNerd (30-Sep-2026)
Upside vs $263.94	+45.9%	+41.6% (mean)	MarketScreener
1Q FY27 revenue	$8.10 bn (guidance midpoint)	$8.01 bn (28 analysts)	Chartmill (Jul-2026)
FY27E EPS	$8.70 (GAAP, base case)	$9.60 (39 analysts; range $8.28–10.97)	Stocksguide (Sep-2026)

How we differ. Our probability-weighted target ($385) is close to the consensus mean ($374) and median ($380), so our valuation is not out of line with the Street. Our FY27E EPS ($8.70) is below the consensus $9.60, partly because ours is on a GAAP basis (consensus figures are typically non-GAAP) and partly because we assume revenue stays at c.$8.2 bn per quarter after 1Q FY27 rather than continuing to step up. At $263.94 our base case alone ($349) offers +32% upside, so we now share the Street's Buy rating; continued share gains (foundry recovery and memory capture ≥ 40%) would confirm the bull case.

Source: Consensus data from third-party aggregators; dates as shown. Consensus EPS basis (GAAP vs non-GAAP) is not specified by the source.

14. Financial Ratios

Growth	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E
Revenue growth	–	1.2%	-14.5%	23.7%	26.0%	41.2%	21.0%	13.7%	15.8%
EPS growth	–	1.4%	-12.7%	43.2%	38.7%	51.5%	30.1%	18.7%	21.6%
FCF growth	–	83.1%	-9.0%	27.2%	-9.7%	105.7%	11.2%	30.3%	19.3%
EBITDA growth	–	-1.4%	-13.4%	34.4%	37.2%	51.9%	26.6%	16.9%	19.4%

Growth. Revenue fell 14.5% in the FY24 memory downturn and recovered +24% and +26%; FY27E (+41%) reflects the $8.1 bn guided 1Q FY27 and the WFE step-up. EPS grows faster than revenue (FY26–30E CAGR c.30% vs c.22%) because of operating leverage and c.2% annual share count reduction. FCF growth is volatile (FY26: working capital build of $1.9 bn ahead of the ramp; FY27E: +105%) and converges to c.15–20% p.a.

Margins & returns	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E
Gross margin	45.7%	44.6%	47.3%	48.7%	50.5%	52.0%	53.0%	53.5%	54.0%
EBITDA margin	32.1%	31.3%	31.7%	34.4%	37.5%	40.3%	42.2%	43.4%	44.7%
EBIT margin	31.2%	29.7%	28.6%	32.0%	35.3%	38.4%	40.6%	41.5%	42.6%
Net margin	26.7%	25.9%	25.7%	29.1%	31.3%	32.5%	34.4%	35.3%	36.3%
ROE (avg. equity)	–	62.3%	45.7%	58.2%	65.1%	78.5%	80.6%	74.6%	72.5%

Margins. Gross margin rose even through the FY24 downturn (44.6% → 47.3%) on mix, and reached 50.5% in FY26 on favourable customer mix. EBITDA and EBIT margins expand by c.7pp to FY30E, about half from gross margin and half from opex leverage (Section 10). ROE is very high (>60%) because cumulative buybacks have reduced book equity; it is not a sign of leverage.

Cash flow	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E
FCF margin	14.8%	26.8%	28.6%	29.4%	21.1%	30.7%	28.2%	32.3%	33.3%
FCF / net income	55.5%	103.7%	111.2%	101.0%	67.3%	94.4%	81.9%	91.6%	91.7%
Capex / revenue	3.2%	2.9%	2.7%	4.1%	4.2%	4.5%	3.4%	3.4%	3.4%
Shareholder returns / FCF	183.3%	62.5%	90.7%	84.4%	104.7%	90.0%	87.5%	85.0%	82.5%

Cash flow. FCF margin averages c.30% in the forecast (FY26: 21% due to working capital); cash conversion (FCF/net income) is c.82–95% in the forecast, depending on the working capital build. Shareholder returns exceeded 100% of FCF in FY22 and FY26 (funded partly from cash) and follow the 90% → 82.5% path from FY27E.

Leverage	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E
Debt / equity	0.80x	0.61x	0.58x	0.45x	0.30x	0.25x	0.19x	0.12x	0.07x
Net debt / EBITDA	0.20x	-0.11x	-0.18x	-0.30x	-0.21x	-0.23x	-0.28x	-0.36x	-0.44x
Net cash ($ m)	-1,097	613	865	1,906	1,845	3,022	4,607	6,998	10,265

Leverage. Negative net debt/EBITDA from FY23 onwards (e.g. –0.44x in FY30E) reflects a **net cash** position, not a financial problem: cash exceeds debt. Debt/equity falls from 0.80x (FY22) to 0.07x (FY30E) as notes are repaid and equity grows with retained earnings. The trend to 2029–30 is driven by debt repayment ($1.75 bn) plus FCF retained after shareholder returns.

Source: Lam 10-K (FY22–FY26), analyst model. All ratios are our calculations; cash includes long-term marketable securities.

15. Risks

Risk	Mechanism	Financial impact	Monitoring indicator
Capex slowdown (foundry/IDM)	Customers pause after the first AI capacity wave; TSMC conditions capex on observed deployment.	Revenue and opex leverage: bear case EBIT margin 37.5% FY30E; value $197 (–40%).	TSMC capex guide (Jan-2027); Lam WFE outlook; hyperscaler capex.
Multiple de-rating	Market reverts to historical cycle multiples.	At 14.3x (10-yr median) base value c.$222; every 4x ≈ $52/share (our calc.).	Sector EV/EBITDA vs history; consensus revisions.
Memory cycle	IDMs abandon discipline and add commodity capacity; prices fall.	Memory c.39–46% of systems; DRAM/NAND conversions delayed.	DRAM/NAND contract prices; IDM capex guidance; utilisation.
Competition AMAT/TEL	AMAT GAA tools (Sym3 Z, Spectral Mo, Trillium) win new steps; TEL in NAND etch.	Bear case (40% capture plus weaker WFE): FY30E revenue $38.4 bn vs $52.2 bn base.	Peer-set foundry share (<25% for two more quarters = negative signal).
Market share loss in memory	Lam loses tool-of-record positions in NAND/DRAM conversions.	Directly undermines 50% capture.	Peer-set DRAM/NAND share and share of increment each half.
GAA ramp timing	2nm/A16 ramps slip; shipments shift between quarters.	Quarterly volatility; FY27E revenue risk.	TSMC/Samsung/Intel node commentary; Lam foundry %.
China / export controls	New US restrictions on mature-node or memory tools.	China c.34% of FY26 revenue ($7.9 bn); lower-margin mix partly offsets.	US BIS rules; Lam China % and $.

Source: Analyst model and valuation sheet; Lam 10-K FY2026 (risk factors, major customers); TSMC 2Q26 call; AMAT press releases 2026; TrendForce.

16. Catalysts and Monitoring Plan

Catalyst	Why it matters	Expected impact	What to monitor	Confirmation signal
1Q FY27 results (21-Oct-2026)	First quarter of the guided step-up; tests the 41% FY27E growth.	Revenue vs $8.1 bn midpoint; 2Q FY27 guide supports $32.8 bn FY27E.	Revenue, GM vs guide, 2Q guide, memory/foundry %.	Revenue ≥ $8.1 bn and 2Q guide ≥ $8.2 bn.
Memory share gains continue	Core of pillar 2 and of the bull case.	Each +5pp of incremental capture ≈ +$2 bn FY30E systems revenue (5pp × c.$39 bn incremental SAM 2026–30; our calc.).	NAND/DRAM % of systems; peer-set share after AMAT (Nov) and TEL (Nov) report.	Lam share of peer-set memory increment ≥ 40% in 2H26.
Foundry/logic share recovery	Tests whether the AMAT rebound is timing or structural.	Supports base-case 50% capture.	Lam foundry $ and %; AMAT foundry/logic %.	Lam peer-set foundry share back to 27–30% (from 24.9%).
Progress to long-term margin targets	Management targets mid-50s% GM and mid-40s% operating margin; our base case assumes 54% / 42.6% by FY30E.	Each +1pp gross margin in FY30E ≈ +$0.5 bn EBITDA (our calc.).	Quarterly GM vs guidance; opex growth guidance.	Quarterly GM ≥ 52% through FY27 with China ≤ 30% of revenue.
CY2027 WFE and TSMC capex	Sets the growth base for FY28E.	Base assumes +14% WFE in 2028.	Lam WFE comments; TSMC Jan-2027 guidance.	TSMC 2027 capex ≥ $75 bn; Lam WFE growth guide ≥ mid-teens.

Because the probability-weighted value depends on the bull case, we will update scenario probabilities after each data point; a small deviation in WFE or share data would raise the bear weight and move the target materially.

Appendix A — Detailed Financial Forecast (Base Case)

Income statement ($ m)	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E
Revenue	17,227	17,429	14,905	18,436	23,233	32,802	39,682	45,121	52,240
Systems	11,322	10,696	8,922	11,491	14,885	21,925	27,121	30,970	34,523
CSBG	5,905	6,733	5,984	6,944	8,347	10,877	12,561	14,151	17,718
Gross profit	7,872	7,777	7,053	8,979	11,725	17,057	21,031	24,140	28,210
R&D	-1,604	-1,727	-1,902	-2,096	-2,376	-2,981	-3,279	-3,607	-3,968
SG&A	-886	-833	-868	-982	-1,150	-1,495	-1,644	-1,809	-1,989
EBIT	5,382	5,175	4,264	5,901	8,200	12,581	16,108	18,724	22,252
D&A	334	342	360	386	442	591	631	840	1,114
EBITDA	5,527	5,452	4,720	6,344	8,704	13,223	16,738	19,563	23,367
Pre-tax profit	5,193	5,109	4,360	5,958	8,262	12,632	16,188	18,860	22,480
Taxes	-588	-598	-532	-600	-997	-1,974	-2,530	-2,947	-3,513
Net income	4,605	4,511	3,828	5,358	7,265	10,659	13,659	15,913	18,967
Diluted shares (m)	1,406	1,358	1,320	1,290	1,261	1,221	1,203	1,181	1,158
Diluted EPS ($)	3.27	3.32	2.90	4.15	5.76	8.73	11.35	13.47	16.38

Balance sheet ($ m)	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E
Cash & investments	3,909	5,625	5,848	6,391	5,579	6,752	8,338	9,728	12,246
Accounts receivable	4,314	2,823	2,519	3,378	5,340	5,817	7,445	8,465	9,801
Inventories	3,966	4,816	4,218	4,308	4,276	5,056	6,956	7,826	8,963
Total assets	17,196	18,782	18,745	21,345	23,530	27,792	34,365	38,980	45,431
Accounts payable	1,011	471	614	854	1,302	1,450	2,111	2,375	2,720
Deferred revenue	1,572	1,695	1,418	2,566	2,279	3,218	3,893	4,426	5,125
Long-term debt	4,998	5,003	4,479	3,730	3,730	3,730	3,730	2,730	1,980
Total equity	6,278	8,210	8,539	9,862	12,471	14,672	19,205	23,462	28,889

Source: Lam 10-K FY22–FY26; analyst model (LAM_FSM.xlsx). Small balance-sheet check differences (c.$0.1m) remain in the model.

Appendix B — Supporting Ratios and Working Capital

Working capital (year-end basis)	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E
Receivable days	91	59	62	67	84	65	68	68	68
Inventory days	155	182	196	166	136	117	136	136	136
Payable days	39	18	29	33	41	34	41	41	41
Deferred revenue % revenue	9.1%	9.7%	9.5%	13.9%	9.8%	9.8%	9.8%	9.8%	9.8%
Asset turnover	1.00x	0.93x	0.80x	0.86x	0.99x	1.18x	1.15x	1.16x	1.15x
R&D % revenue	9.3%	9.9%	12.8%	11.4%	10.2%	9.1%	8.3%	8.0%	7.6%
Effective tax rate	11.3%	11.7%	12.2%	10.1%	12.1%	15.6%	15.6%	15.6%	15.6%

Source: Our calculations. Model applies days to average balances; year-end days shown here for comparability.

Appendix C — Methodology Notes and Model Review

- **Market share:** peer-set relative share (Lam, AMAT, TEL), systems revenue × reported end-market mix; not global WFE share (Section 7).
- **DCF corrections applied:** terminal value previously discounted twice; capex shifted one year; discount dates moved to fiscal year-end with FY27 stub; net cash from actual FY26 balance sheet.
- **Price:** valuation sheet uses $300 (21-Sep-2026); this report uses $263.94 (16-Oct-2026 close) for upside.
- **Data and assumptions:** sources are cited under each table and chart; model assumptions are listed with their basis (management guidance vs our own assumption) in the Investment Summary and Section 10.
- **Not available publicly:** product-level revenue, customer names by % of revenue, POR decisions by process step, DRAM vs HBM split for Lam. We do not estimate these.

Appendix D — Sources

- **Lam Research:** Form 10-K FY2024 (29-Aug-2024), FY2025 and FY2026 (Item 1 Business; Item 7 MD&A, Revenue; Note on Segment, Geographic Information and Major Customers), SEC EDGAR; 8-K earnings releases (Jan, Apr, Jul-2026); quarterly earnings slides (investor.lamresearch.com); earnings call transcripts (Motley Fool, Apr and Aug-2026); 2025 Investor Day; press releases (Akara, ALTUS Halo, Feb-2025); newsroom "Made by Lam".
- **Applied Materials:** 8-K Q1 and Q3 FY2026 (SEC EDGAR; 12-Feb and 13-Aug-2026); Q3 FY2026 call transcripts (Investing.com, The Globe and Mail); press releases 10-Feb-2026, 8-Apr-2026, 15-Jun-2026 (via GlobeNewswire/StockTitan); Converge Digest and Futurum Group (Apr-2026).
- **Tokyo Electron:** investor presentations (quarterly SPE new equipment and application mix), as compiled in analyst files.

- **TSMC:** 2Q26 earnings call (Investing.com transcript, Jul-2026); 4Q25 transcript (investor.tsmc.com, Jan-2026); TrendForce (15-Jan-2026); TradingView (Jul-2026); Yahoo Finance (Aug-2026); BigGo Finance (Goldman Sachs estimate, Jul-2026).
- **Memory:** TrendForce press release (13-Nov-2025); NAND Research (May-2026); Network World (Jan-2026); SK hynix Form DRS/A and 424B4 (SEC, 2026).
- **Market data:** StockAnalysis.com (S&P Global) statistics, ratios and financials (29–30-Sep-2026); ECB reference rates (29-Sep-2026); Yahoo Finance (daily prices, 30-Sep-2026 close), MarketScreener and TickerNerd (consensus), Stocksguide (consensus EPS), Chartmill (1Q FY27 consensus), Investing.com (52-week range); Yahoo Finance (beta); GuruFocus (EV/EBITDA history); Bullfincher (FY23–24 US revenue share).
- **Analyst files:** LAM_FSM.xlsx; BEAR-BULL_CASES.xlsx; LAM_guidance_management.xlsx; LAM_ultimas_3_calls.xlsx; LRCX_Foundry_Cuota_PeerSet_EXACTA.xlsx; Memoria_WFE_Lam_vs_competidores_FINAL.xlsx.

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Disclosures

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Sources and methodology. Information has been obtained from sources believed to be reliable (company filings, investor relations materials, earnings calls, and third-party data providers listed in Appendix D), but its accuracy and completeness cannot be guaranteed. Sources are cited under each table and chart, and model assumptions are listed with their basis in the Investment Summary and Section 10. Third-party data (including consensus figures) may contain errors or differ by provider.

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